



Bargain Hunting at B&M (LSE: BME)

Varsity Stock Pitch Competition 2022

LONG

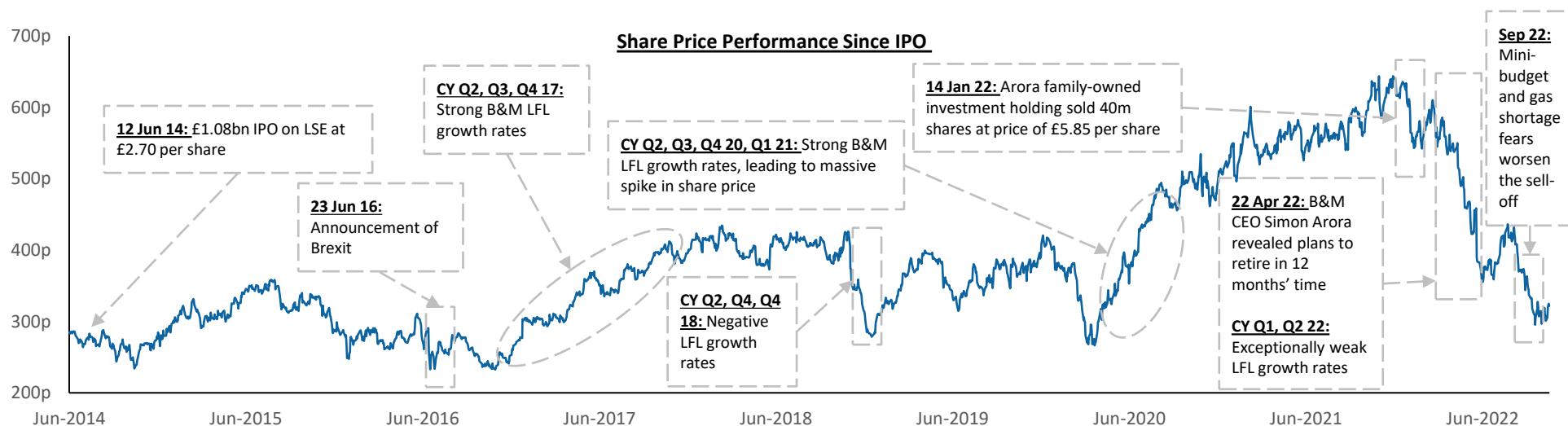
Target Price: GBp 452

Upside: 40.5% (30 October 2022)

Team: Ixora

Why the Opportunity Exists

Fundamentally high-quality business mispriced by the market



Mispricing: Concerns about Revenue Growth Sustainability

Fears about slowdown of top-line growth

- Revenue has grown at had positive growth since IPO, with a CAGR of 19.9% in the past decade, but took a (2.7%) hit in FY22
- European gas crisis and weak UK economy exacerbate fears of an extended period of slow growth as consumers' disposable income take a hit

Concerns about weak LFL performance in recent quarters

- B&M's value proposition to consumers is in question given weak 1-year LFL sales growth in the past 5 quarters
- CEO Simon Arora's departure and sale of shares after 18-year stint aggravates concerns

Doubts over countercyclicality given General Merchandise exposure

- Discounters such as Aldi and Lidl have flourished in recent quarters but the market remains unfazed
- High General Merchandise exposure in product mix (60%) paired with weak consumer sentiment has fuelled doubts

Thesis Summary

1

B&M's superior growth prospect is currently underappreciated by the market amidst an indiscriminate sell-off of UK consumer & retail stocks. The capital-light and low saturation nature of B&M stores should support above-expected sales growth

2

A myopic fixation on 1Y LFL overlooks a resilient 2Y and 3Y LFL growth from Pre-COVID levels. Retention of new customers and stable spending per customer numbers suggest a stickier-than-expected consumer base

3

The market has neglected the countercyclicality of B&M's business despite historical downturn resilience due to quasi-essential nature of most products and footfall spillover from other discounters



What's In Store at B&M

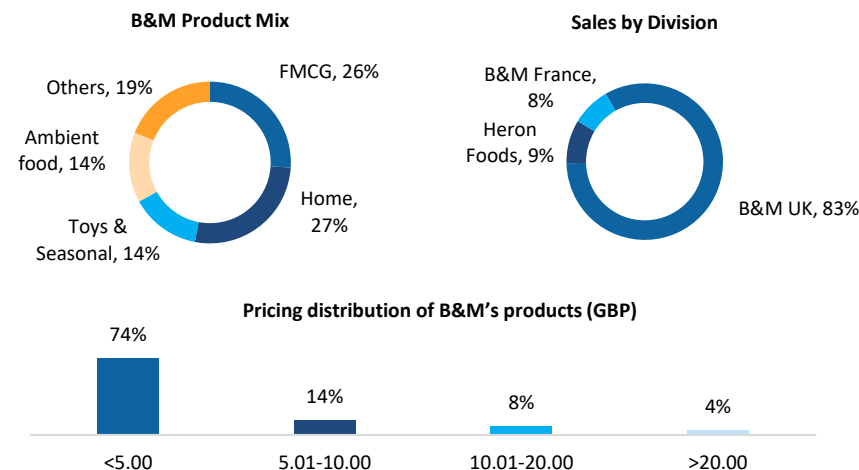
B&M is a UK-based company that operates discount retail stores across the UK and France

Business Model

- B&M European Value Retail S.A. ("B&M") is a low-price retailer in the UK that sits at the intersection of specialist retailers, grocery stores and deep discounters
- B&M's portfolio includes **Grocery**, typically priced at a 15% discount to mainstream groceries, and **General Merchandise**, which includes toys, gardening, home, and do-it-yourself products
- It operates 2 formats: B&M Bargain stores, which is mainly a high street format of nearly 10,000 sq ft in size, and B&M Home stores that are mainly larger, out-of-town stores of 21,000 sq ft in size



Revenue by Segment



Economic Moat

Sourcing Advantage

Versatile SKU strategy of stocking only a smaller variety of fast-selling items

One of the largest general merchandise importers from China into the UK

Low SKU count allows B&M to buy in bulk at cheap

Long-standing relationship with suppliers & shipping line, solidified with a China/HK JV

Experienced in-house designers and data analysts allows for swift trend identification

Unlike peers, purchasing team is B&M's largest department, with senior merchandisers for each product type

15-20% lower prices than retailers in FMCG and Food items

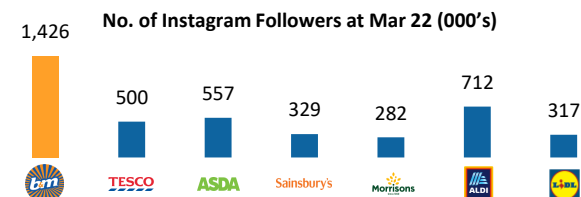
Low Cost Business Induces a Capital-Light Structure

- B&M model focuses on **out-of-town locations** and are extremely disciplined on store selection, which has generated **strong payback profile**
- Management's focus on low cost measures**
- B&M's increasing recognition as a "**destination visit**" helps establish location presence, **reducing need for active advertisement and marketing expenditure**

	Payback period (years)	Marketing expenditure as % of revenue
B&M	0.7	4.1
Industry ⁽¹⁾	1.3	13.7

Brand Loyalty

- B&M's Everyday Day Low Prices value proposition gives it a clear identity to consumers who return for more "bargain hunting"
- Ranked 9th most loved retail brand overall and 3rd within the Home category



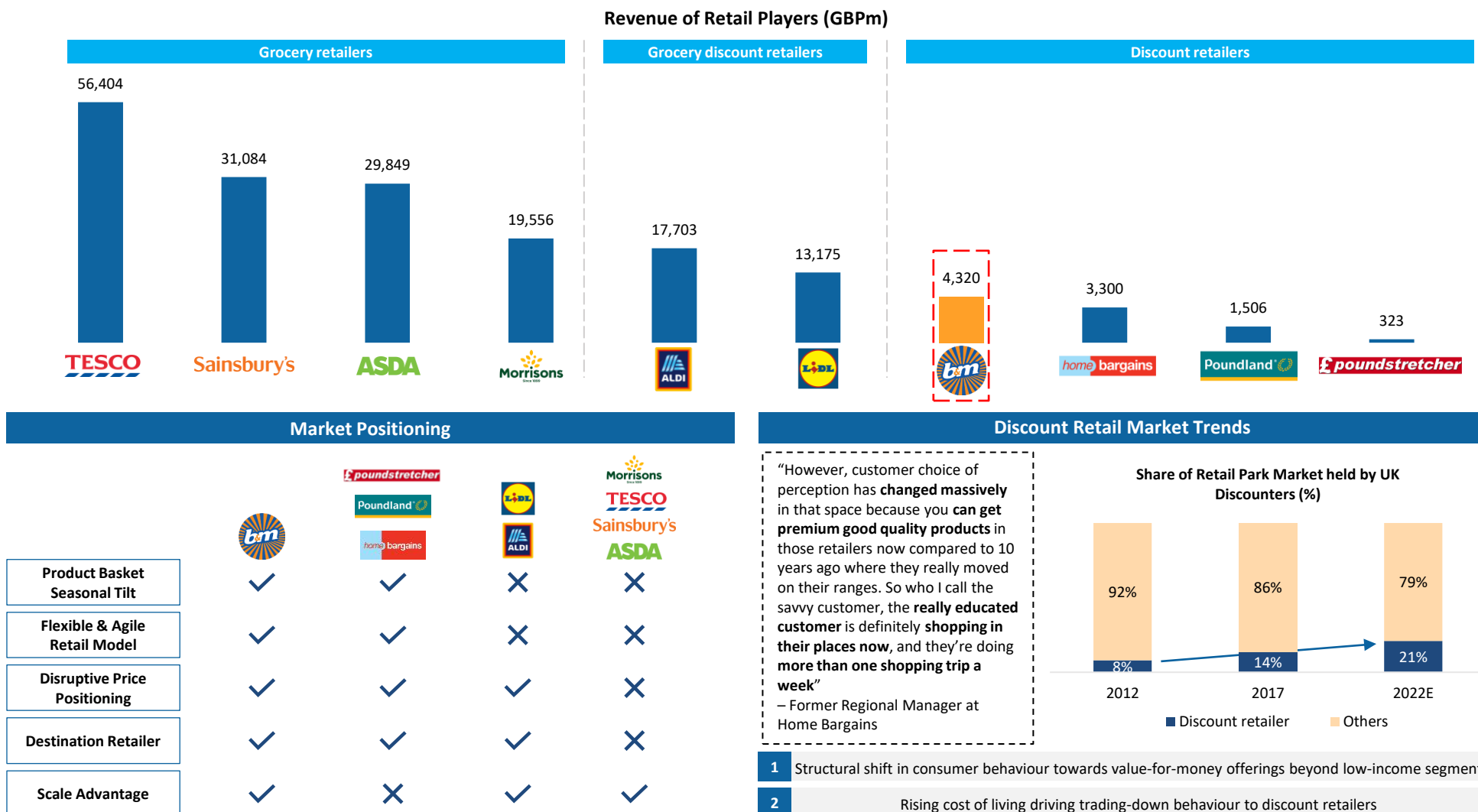
Despite spending the least on marketing vs peers, B&M has the **most number of followers** on Instagram (>1.4m). Aldi comes 2nd at ~700k, less than half of B&M



(1) Average figures of publicly listed discount retailers in the UK and US
Source: Company Data, Statista, RBC Capital Markets, Macquarie Research

Industry Tailwinds Check Out

Consumer trends alongside a fragmented market underpinning growth potential in discount retail sector



(1) Based on estimates from FY22 and FY21 data

(2) Best effort estimates based on publicly available FY21 and FY20 information

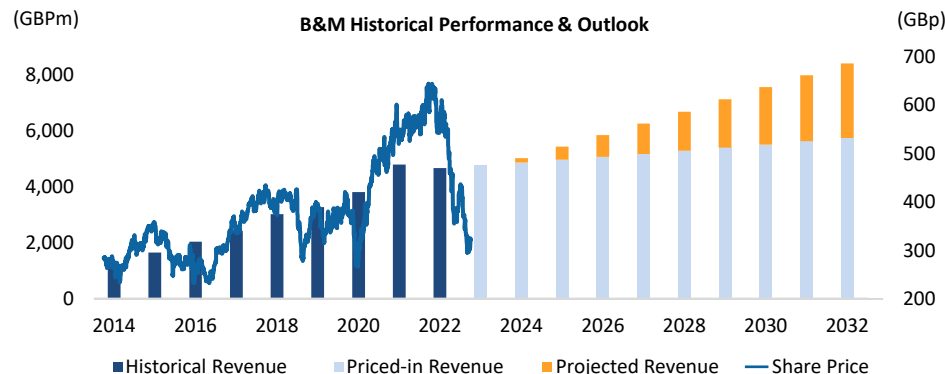
Source: Company Data, Statista, Marmon Retail Solutions, The Grocer, Retail Detail, Kantar, UK Companies House, Tegus

Thesis 1: Growth Story Priced For Failure

A Well-Loved Business Shelved Amidst a C&R Sell-off

A business model with proven track-record of growth priced with pessimism...

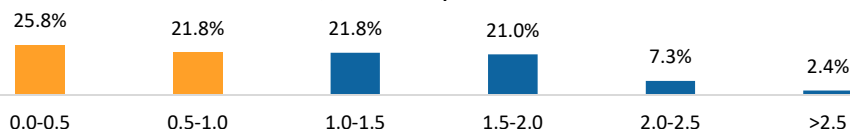
- Today's share price reflects a market expectation of 2% sales CAGR from now to FY2032 as near-term headwinds blind many from B&M's strong growth story
- We believe B&M's value proposition to consumers will drive ~6% CAGR instead



B&M's future expansion plans are supported by an unsaturated market...

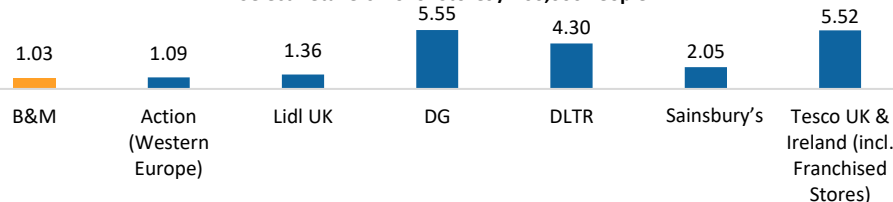
- Grown out of Liverpool, the South remains an untapped market for B&M with significant headroom for further store expansion

No. of B&M Stores / 100,000 People as a % of UK Postcode Areas



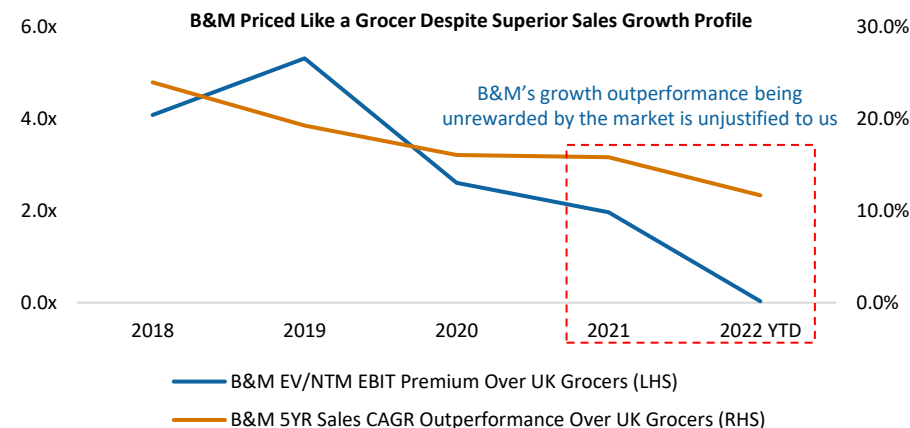
- Featuring the lowest saturation of stores with respect to population, B&M enjoys a long runway of growth ahead of it

Select Retailers No. of Stores / 100,000 People



...results in B&M being unfairly priced like a mature grocer

- Indiscriminate sell-off of all retailers has led to a mispricing of B&M's growth potential



...which will enable B&M to replicate its "winning algorithm" and outperform

- B&M's unit economics features a capital-light model with a mere **7 month store payback period – lower than industry average of 15 months**
- With much headroom for expansion, B&M can continue its playbook of ~2.5% LFL + 3.5% new stores growth to net 6% sales CAGR until FY2032

Unit Economics (GBP)	Est. from FY22 Call
Revenue per Store	5,600,000
Store EBITDA (excl. Central Costs)	1,232,000
Total Investment + Working Capital Required	1,129,333
Investment	718,667
Working Capital	410,667
Store Payback (months) (pre-tax)	7.0
Store Payback inc. Working Capital (months)	11.0



Thesis 2: Misconstruing of Weak LFL

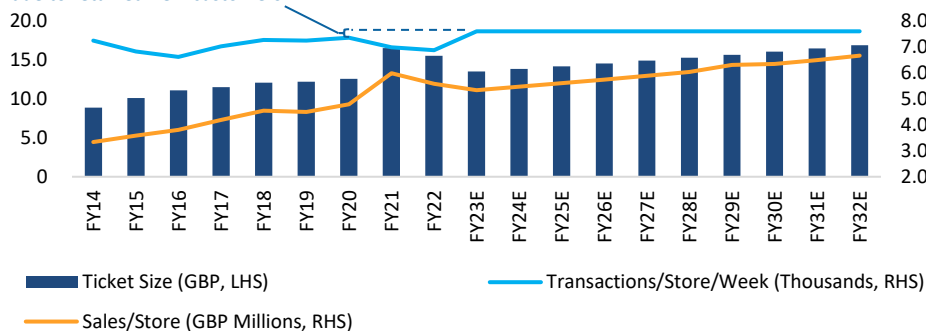
Missing the Big Picture: A Near Term Overreaction to “Weak” LFL

Despite normalising ticket size, we believe transaction numbers will be structurally higher

- Although COVID-induced ticket size bumper reverses, the long-run LFL growth story remains intact

LFL Will Normalise to Its Long-Term Growth Trajectory

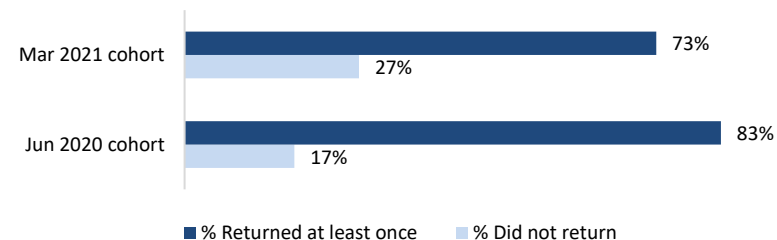
~3% higher than Pre-COVID
due to retained new customers



Retention of new customers from COVID cohorts will drive higher transaction numbers...

- Customer cohorts from COVID have had **strong retention rates** in FY22
- Cohorts are significant in size – 23% of all shoppers in Jun 2020 were new and those who returned increased their average transaction frequency by 4x over the next 9 months
- Low and middle income customers have the highest propensity to visit repeatedly, who are most likely to be impacted by the rising cost of living

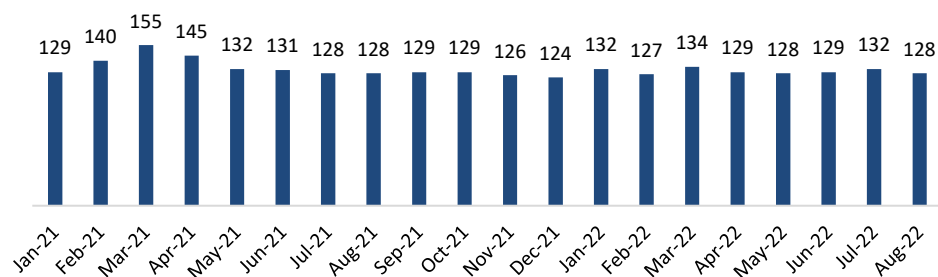
COVID Cohort Analysis



...and spending per customer, while normalised, remains resilient and above 2019 levels

- Fears of LFL nosediving further seem overblown given resilient card data
- Absence of spending fall highlights a) sticky consumer base b) broader consumer base beyond only lowest-income households

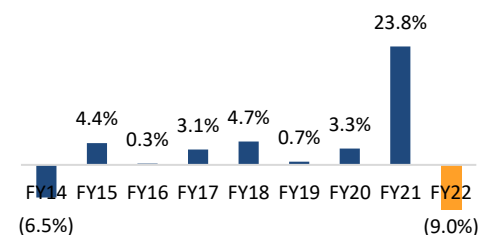
Discount Stores Consumer Spending (indexed, 2019=100)



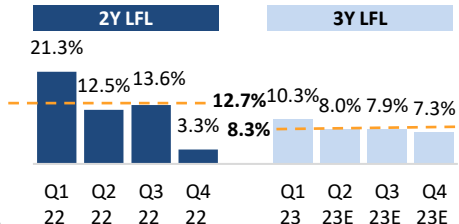
Healthy 2Y and 3Y LFL growth rate emerges, though the market chooses to focus on weak 1Y LFL sales growth

- Tough comps from COVID-driven FY21 performance led to what we see as an expected decline in FY22 and Q1 23 LFL sales performance, though they're shunned by the market
- Overlooking COVID restrictions and abnormalities, **LFL sales have continued to perform well on a 2-year basis from FY20-22**
- 1Q 23 LFL print solidifies our view** of a resilient 3-year LFL growth from FY20-23 that is to come

UK LFL 1-Year Sales Growth



LFL Sales Growth from Pre-COVID Numbers



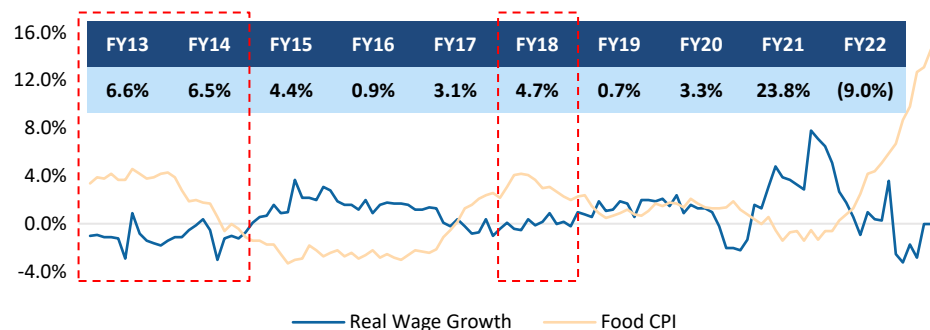
Thesis 3: Underappreciated Countercyclicality

Has The Market Forgotten?

Countercyclicality shows during periods of tight household budgets...

- Historically, LFL sales were strongest during periods of constrained household budgets indicated by negative real wage growth and high Food CPI
- Halfway into 2023, we have these circumstances with record low consumer confidence

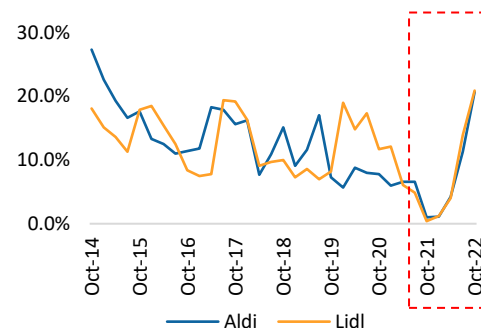
UK Key Macroeconomic Indicators and B&M UK LFL Sales Growth



...and other UK discounters have already flourished

- Trading-down behaviour has led to strong sales growth at Aldi and Lidl
- With similar store locations, B&M footfall should benefit from elevated transaction numbers

UK Discounters' 1-Year Sales Growth



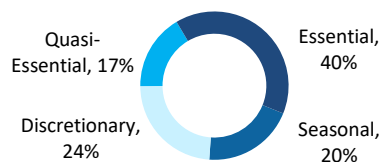
"40,000 to 50,000 customers a week are going through a Tesco. If you can pick up 1% of those customers because they can see a B&M or a Home Bargains in their locality, there's a mutual benefit there. The majority of the sites are located next to Lidl or ALDI and Iceland Food Warehouse locations because it's the same type of demographic of customer that we're in that space for. So hopefully, that helps synergy."

— Former Regional Manager at Home Bargains

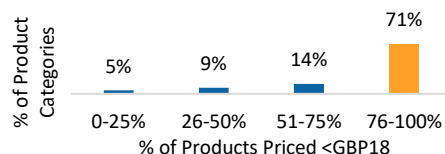
General Merchandise segment is misunderstood to be largely discretionary...

- 76% of B&M's General Merchandise products are **essential, quasi-essential or seasonal**

General Merchandise Product Types



Most Discretionary and Quasi-Essential Product Categories have >75% of Products Priced <GBP18



- B&M's seasonal flex and low prices will continue to lure customers into purchasing seasonal items
- With average basket size of GBP18, we expect marginal pullback given low prices of discretionary and quasi-essential products

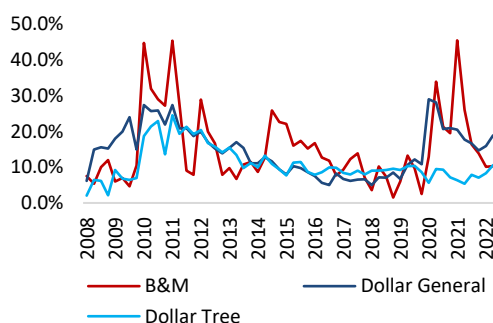
"I really need to emphasise that we're not a big-ticket purchase retailer. So we're not talking about a GBP 500 television going to GBP 600 and losing a lot of its appeal to a consumer. **We're talking about a GBP 3 product going to GBP 4.**"

— CEO Simon Arora, H1 FY22 Earnings Call

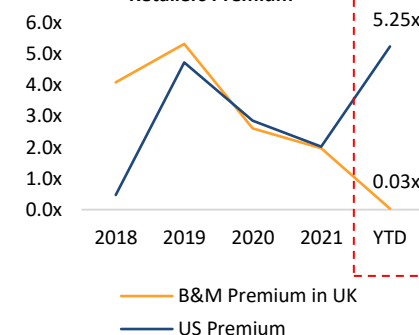
...resulting in mispricing compared to US peers despite resilient LFL sales growth

- LFL sales growth moves in tandem with US peers and remains strong in downturns
- Yet US discounters trade at a higher premium to grocery retailers compared to B&M

3-Year LFL Sales Growth Comparison with US Peers⁽¹⁾



EV/NTM EBIT Discounters vs. Grocery Retailers Premium⁽²⁾



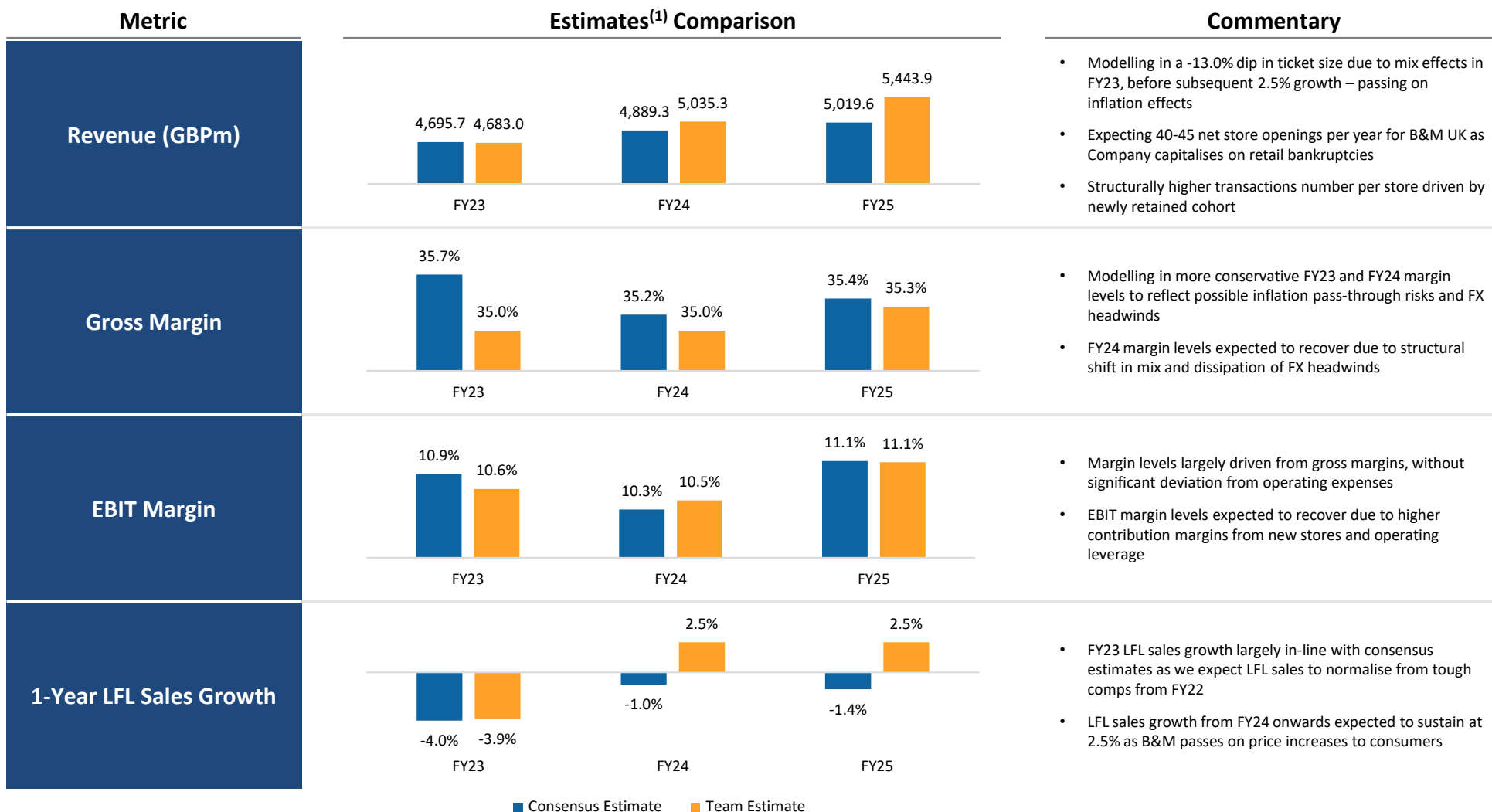
(1) 1-Year LFL sales growth used for 2008 to end-2009 period as data is undisclosed

(2) US Discounters: Dollar General, Dollar Tree. US Grocery Retailers: Target, Walmart, Kroger. UK Grocery Retailers: Tesco, Sainsbury's

Source: Company Data, UK Office for National Statistics, S&P Capital IQ, Statista, Tegus

Where We Depart From the Bears

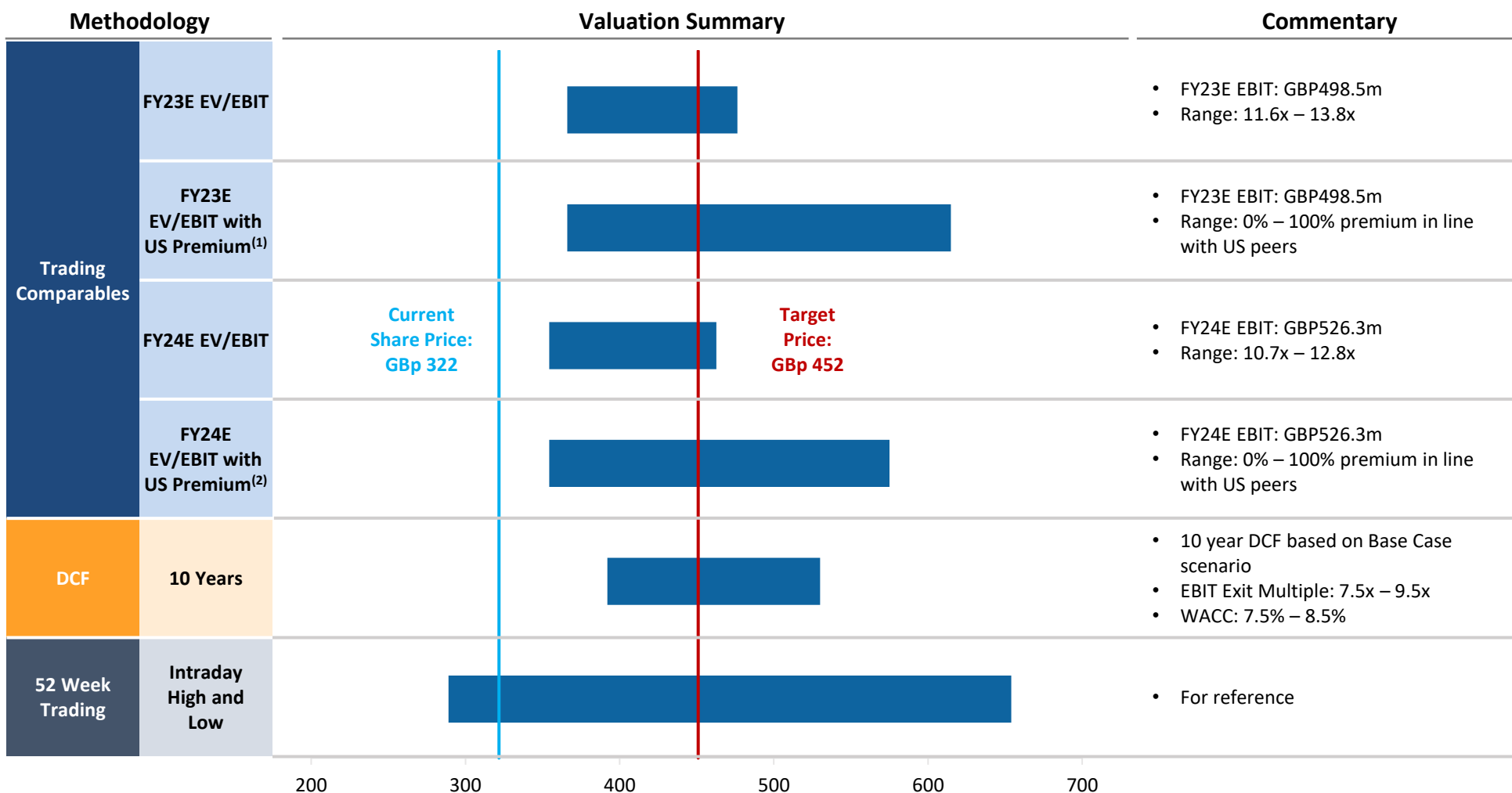
Based on our thesis, we are modelling for a stronger rebound in LFL sales and improvement in margins



(1) Consensus estimates based on the lower quartile of analyst estimates from S&P Capital IQ
Source: S&P Capital IQ, Company Data

Finding The Right Price For B&M

With structural business advantages, we believe B&M should trade at a premium to its grocery retail peers



Our trading comparables analysis has taken into account the premium over grocery retailers that B&M should trade at, using US peers as a benchmark



(1) Using 5.0x multiple premium as a benchmark based on US peers

(2) Using 4.2x multiple premium as a benchmark based on US peers

Source: S&P Capital IQ, Company Data

Assessing the Value In B&M's Investment Case

Our sensitivity and scenario analysis shows a compelling risk-reward skew and a margin of safety over 3 years

Scenarios	Commentary	Target Price	Implied Price
Bull	1-year LFL growth expected to maintain at 3.5% from FY24 onwards, driven by stronger passthrough to inflation through growth in ticket size and higher transactions / store 950 stores target to be reached by FY28, with faster than expected store rollout - Gross margins holding out at post-COVID levels of 36.5% despite FX headwinds	GBp 713 121.5% Premium Probability: 20%	GBp 452⁽¹⁾ 40.5% Premium Risk/Reward⁽²⁾: 1.9x
Base	1-year LFL growth modelled at 2.5%, with B&M passing some of the inflation effects to consumers and higher structural transaction count driving LFL growth - Normalisation of gross margins to 35.5% in FY26, as compared to 36.9% in FY21, reflecting shift in mix and no subsequent improvements to margin	GBp 476 47.8% Premium Probability: 50%	
Bear	1-year LFL growth projected to be at 1.5% with B&M being unable to pass on price increases to consumers and lower transactions / store due to customer churn - Slowdown in store expansion plans due to deterioration of payback profile of new stores - Complete unwinding of operating and gross margin improvements through COVID period	GBp 239 -25.7% Premium Probability: 30%	

Base Case DCF Sensitivity Analysis

Implied Share Price							Implied Share Price						
% Revenue CAGR							Terminal EBIT Multiple						
% Op Margin		4.0%	5.0%	6.0%	7.0%	8.0%	WACC		6.5 x	7.5 x	8.5 x	9.5 x	10.5 x
	9.0%	223	263	307	355	406		7.0%	421	473	525	577	629
	10.0%	283	329	378	430	487		7.5%	400	450	500	550	600
	11.0%	344	394	448	506	568		8.0%	380	428	476	523	571
	12.0%	405	460	518	582	650		8.5%	361	407	453	498	544
	13.0%	466	525	589	657	731		9.0%	343	387	430	474	518



(1) Probability-weighted price target derived from Bull, Base and Bear scenarios

(2) Risk/Reward skew is based on Base and Bear case outcomes

Source: S&P Capital IQ, Company Data

Taking Stock of the Road Ahead

Current set-up provides actionable event path to initiate a long position with reassessment opportunities

Current Set-Up and Sentiment

- 1 B&M has fallen 30% since FY22 results as bears sold off the stock after reporting 1-year LFL sales growth of (9.0%)
- 2 B&M trades at a record lowest EV/NTM EBIT multiple of 9.9x since its IPO
- 3 Ex-CEO Simon Arora's departure after his 18-year stint also leaves investors concerned about the future of the company
- 4 Offloading of shares by ex-CEO Simon Arora's family office worth GBP234m in Jan 2022

Risks and Mitigants

Risks

Continued decline in LFL sales growth

- Less discretionary spending due to inflationary pressures
- We are pricing in negative LFL sales growth for FY23

Margin pressure due to mix shift from higher-margin General Merchandise

- Strong General Merchandise sales driven by pandemic abnormalities will normalise
- We assume 240bps of gross margin deterioration, which is more conservative than management's 120bps

Slowdown in store rollout

- Unlikely given B&M's history of capitalising on Toys 'R' Us and Mothercare's store closures to open units
- UK retail vacancies remain above pre-pandemic levels and current macroeconomic environment creates further expansion opportunities

Commentary

Event Path

Q2-Q3 FY23

1-Year LFL sales growth still remains negative but reduces in magnitude

LFL sales growth on 2-year and 3-year basis should stay positive and show no signs of slowdown

If the 1-Year LFL sales growth continues to decline, reason for poor LFL should be re-evaluated as it would no longer be tough comps with COVID periods

Q4 FY23

1-Year LFL sales growth starts to turn positive, as it would be comped against post-COVID periods

FY24

Store rollout accelerates to pre-pandemic levels of ~45 net new stores from ~30 in recent years boosted by retail vacancies

Inability to expand through the cycle, with store rollout of <30 net new stores, would dampen B&M's growth story

Maintaining short payback profile of new stores is key since it ensures B&M's "winning algorithm" is replicable. A deviation from this should invite caution

FY24 Onwards

Robustness of B&M's growth story becomes more apparent to the market given resilient LFL sales and successful store rollout

Discounted Cash Flow Analysis Output

Fiscal Year End	Historical					Projected									
	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032
Period	31/03/18	30/03/19	28/03/20	27/03/21	26/03/22	25/03/23	30/03/24	29/03/25	28/03/26	27/03/27	25/03/28	31/03/29	30/03/30	29/03/31	27/03/32
Days In Period	371	364	364	364	364	364	371	364	364	364	364	371	364	364	364
Unlevered Free Cash Flow Projections (GBPm)															
Revenue	3,029.8	3,272.6	3,813.4	4,801.0	4,673.0	4,683.0	5,035.3	5,443.9	5,855.1	6,268.5	6,698.5	7,145.8	7,579.2	7,996.9	8,430.5
% Growth	24.6%	8.0%	16.5%	25.9%	(2.7%)	0.2%	7.5%	8.1%	7.6%	7.1%	6.9%	6.7%	6.1%	5.5%	5.4%
Operating income	239.8	318.7	315.9	613.0	610.0	498.5	526.3	603.6	664.4	716.7	771.4	823.6	873.9	922.1	972.2
% Margin	7.9%	9.7%	8.3%	12.8%	13.1%	10.6%	10.5%	11.1%	11.3%	11.4%	11.5%	11.5%	11.5%	11.5%	11.5%
EBITDA	275.0	363.5	370.1	675.0	676.0	564.0	596.8	682.5	749.3	810.7	871.9	934.4	991.4	1,046.1	1,102.9
% Margin	9.1%	11.1%	9.7%	14.1%	14.5%	12.0%	11.9%	12.5%	12.8%	12.9%	13.0%	13.1%	13.1%	13.1%	13.1%
Net Operating Profit After Tax	189.4	251.8	249.5	484.3	481.9	393.8	415.8	476.8	524.8	566.2	609.4	650.6	690.4	728.5	768.0
Depreciation & Amortisation	35.2	44.8	54.3	62.0	66.0	65.6	70.5	78.9	84.9	94.0	100.5	110.8	117.5	124.0	130.7
Changes in Working Capital															
Trade and Other Receivables	19.0	(36.0)	(8.2)	18.6	(11.0)	(10.8)	(14.9)	(20.8)	(21.3)	(23.2)	(25.7)	(8.3)	(14.7)	(10.7)	(11.1)
Inventories	(96.6)	(106.9)	77.6	(17.0)	(258.0)	(73.6)	(70.5)	(136.2)	(86.4)	(86.8)	(157.3)	(98.4)	(95.3)	(171.9)	(99.7)
Trade and Other Payables	52.2	56.7	43.3	104.0	40.0	(85.6)	27.6	53.8	44.2	44.2	46.0	33.9	60.0	43.8	45.5
Provisions	1.1	0.0	0.1	1.9	3.0	(1.6)	0.7	0.8	0.8	0.8	0.9	0.9	0.9	0.8	0.9
Total Changes in Working Capital	(24.3)	(86.1)	112.8	107.5	(226.0)	(171.6)	(57.1)	(102.4)	(62.7)	(65.0)	(136.1)	(71.9)	(49.2)	(138.0)	(64.5)
Capital Expenditure	(111.3)	(103.3)	(123.3)	(87.0)	(96.0)	(121.7)	(130.8)	(141.3)	(151.9)	(162.6)	(173.7)	(185.2)	(196.4)	(207.2)	(218.5)
Unlevered Free Cash Flow	89.1	107.2	293.3	566.8	225.9	166.0	298.4	312.1	395.2	432.6	400.2	504.3	562.3	507.2	615.7
% Growth	2.9%	3.3%	7.7%	11.8%	4.8%	3.5%	5.9%	5.7%	6.7%	6.9%	6.0%	7.1%	7.4%	6.3%	7.3%

Comparable Companies Analysis Output

Company	Market Cap	Enterprise Value	FY2023E Multiples				FY2024E Multiples			
			EV/Revenue	EV/EBITDA	EV/EBIT	P/E	EV/Revenue	EV/EBITDA	EV/EBIT	P/E
Food Retail										
Tesco PLC (LSE:TSCO)	15,690.4	27,085.4	0.4 x	6.3 x	10.4 x	10.2 x	0.4 x	6.1 x	10.3 x	10.0 x
Marks and Spencer Group plc (LSE:MKS)	2,047.6	4,653.3	0.4 x	4.2 x	8.0 x	6.7 x	0.4 x	4.4 x	8.3 x	7.1 x
J Sainsbury plc (LSE:SBRY)	4,414.9	11,392.9	0.4 x	5.2 x	11.8 x	9.2 x	0.4 x	5.2 x	12.0 x	9.5 x
25th Percentile			0.4x	4.7x	9.2x	7.9x	0.4x	4.8x	9.3x	8.3x
Median			0.4x	5.2x	10.4x	9.2x	0.4x	5.2x	10.3x	9.5x
75th Percentile			0.4x	5.7x	11.1x	9.7x	0.4x	5.7x	11.2x	9.7x
Discount Retail										
Pepco Group N.V. (WSE:PCO)	3,440.8	4,678.3	1.0 x	6.2 x	12.8 x	14.2 x	0.9 x	5.3 x	10.8 x	11.9 x
Specialty Retail										
Kingfisher plc (LSE:KGF)	4,175.5	6,015.5	0.5 x	4.3 x	7.0 x	7.4 x	0.5 x	4.5 x	7.8 x	8.3 x
Currys plc (LSE:CURY)	715.2	1,938.2	0.2 x	3.6 x	9.1 x	7.3 x	0.2 x	3.4 x	7.8 x	5.8 x
Dunelm Group plc (LSE:DNLM)	1,738.0	2,038.7	1.3 x	7.9 x	11.6 x	12.7 x	1.3 x	7.5 x	10.8 x	12.5 x
WH Smith PLC (LSE:SMWH)	1,515.7	2,319.7	1.5 x	7.3 x	13.8 x	14.9 x	1.4 x	6.8 x	12.2 x	12.8 x
Pets at Home Group Plc (LSE:PETS)	1,384.6	1,698.5	1.2 x	6.7 x	11.8 x	13.5 x	1.2 x	6.2 x	10.7 x	12.6 x
25th Percentile			0.5x	4.3x	9.1x	7.4x	0.5x	4.5x	7.8x	8.3x
Median			1.2x	6.7x	11.6x	12.7x	1.2x	6.2x	10.7x	12.5x
75th Percentile			1.3x	7.3x	11.8x	13.5x	1.3x	6.8x	10.8x	12.6x
B&M European Value Retail S.A. (LSE:BME)										
	3,224	5,317	1.1 x	6.9 x	9.9 x	9.2 x	1.0 x	6.6 x	9.7 x	9.2 x

Spotlight on Margins

How B&M is well-positioned to withstand margin pressures

Strong Strategic Positioning to Tackle Inflation

Control over supply chain – from design to supplier to store – allows for product re-engineering

Rational competitors who mutually recognise the undesirability of a price war

SKU versatility enables B&M to skew towards less inflation-affected goods

Cheap items in nature lead to less impact of price increases to disposable income on absolute basis

“A packet of 6 socks might become a packet of 5 socks. But frankly, if that packet of sock is only GBP 4, if you need a packet of sock, you need a packet of sock. It's not something that people are going to stop buying.”

– CEO Simon Arora, H1 FY22 Earnings Call

“We have a basket of goods that we compare against the competition on a fortnightly basis. And yes, whilst we fully expect further inflation to feed through on food and grocery, **the reality is we see our competitors being rational. We see very few of them, if not any, if any, having any appetite to absorb those cost pressures.**”

– CEO Simon Arora, H1 FY22 Earnings Call

“One of the advantages of being a limited assortment discounter is that unlike a full-service supermarket, we don't have to stock any one thing. **So if there's a particular product that we feel, because of a price increase, isn't going to be a good seller for us or we aren't going to be able to demonstrate our value credentials versus the rest of the market, we can delist it.**”

– CEO Simon Arora, Q4 FY21 Earnings Call

“I really need to emphasize that we're not a big-ticket purchase retailer... **We're talking about a GBP 3 product going to GBP 4.** We're talking about a 6 pack going to a 5 pack or a duvet set that might be GBP 9.99 goes up to GBP 11.99. And yes, you might see the volume slightly dip. But in terms of the amount of money you take through the [indiscernible], that's hopefully typically more than offset by the price going up.”

– CEO Simon Arora, H1 FY22 Earnings Call

Margin Drivers

Factor	Inflation	Product Mix	New Store Contribution	FX	Shipping Rate
Commentary	- Near-term headwind to all businesses - Essential nature of B&M's goods will likely confer pass-through ability as long as competitors remain rational in pricing - Product sourcing from China where inflation is lower will continue to be near-term tailwind	- Structurally shifted towards higher-margin gross merchandise after COVID as consumers gain awareness of B&M's product offering beyond core FCMG and consider it a destination store - Will normalise post-COVID in the near-term as home-upgrading frenzy abates	New stores are higher-margin due to B&M's buying power, branding (e.g. social media presence), site selection and store-operating know-how improving over time	GBP/CNY depreciation is a headwind in the near-term with unfavourable macroeconomic conditions in the UK	- Asia-UK shipping costs only make up ~10% of COGS on average, ranging from 3% to 20% for bulky furniture - Favourable conditions given shipping rates are abating and B&M's versatility allows it to pivot to less-bulky items
Model	Modelling 240bps of margin step back for possible delayed inflation passthroughs and FX headwinds	- Near-term headwind relative to FY22 - Accretive to gross margins on a normalised basis at ~100bps	Step-up of operating margins by ~20bps from FY24 onwards	Modelling 240bps of margin step back for possible delayed inflation passthroughs and FX headwinds	Flexing shipping rate through bear case with limited dilution to margins



Differentiating the Discounters

How B&M sets itself apart from its peers with its value proposition

Peer Comparison⁽¹⁾

					
Store count	1,119	1,040	595	350	1
Sq ft / store	20,000	6,000	17,500	6,000	2
Sales / store (GBPm)	4.18	1.88	5.55	0.79	
SKUs	6,000	3,500	4,000	N/A	3
Sourcing				N/A	4
Gross margin	37.5%	37.7%	26.8%	24.2%	
EBIT margin	13.1%	10.0%	9.3%	27.2%	5

Elaboration

- 1 B&M has the **largest scale** among discount retailers, with the highest store count
- 2 Majority of B&M and Home Bargain's stores are located in **retail parks** compared to Poundland and Poundstretcher's **higher street location**, with **higher store sizes** on average
- 3 Lower SKUs than traditional supermarkets' 25,000, B&M able to **buy at bulk** at **cheaper prices**. At the same time, B&M offers the **widest variety** of gross merchandise among discounters
- 4 **40%** of B&M's supplies are sourced **from China**, with its large scale helping to command pricing advantage. Poundland sources 70% from the UK, while Home Bargains 1/3 from China and 2/3 from the UK
- 5 B&M commands superior margins from **sourcing and store economics**

Who is the typical B&M customer?

-  **Low to middle income families** seeking value, convenience and variety
- 80% of consumers go to B&M for **destination reasons** – gardening, seasonal, toys and general merchandise – but baskets comprise **50% of destination products and 50% of impulse products**
- Families visit on average **9.7 times a year**



The team conducted on-the-ground visits to a B&M Home Store in Cambridge to scope the opportunity.



(1) Based on publicly available information in FY21 and FY22
Source: Company Data, Tegus, Craft, Pomanda

Management Overview

Alex Russo – CEO



- ❖ Joined B&M on 5 October 2020 and the Board as the Group's CFO on 16 November 2020
- ❖ Served as **CFO, Senior Vice President, at Walmart's Asda business** between 2014 and 2018
- ❖ Prior to joining Asda, served as **Tesco's CFO of South Korea**
- ❖ Prior to that, was Tesco's Commercial Financial Director for its UK business

Simon Arora – Executive Director



- ❖ **Founder-CEO of B&M** from 1 December 2004 until September 2022
- ❖ Has a background in consumer goods, corporate finance and consulting
- ❖ Was a co-founder and Managing Director of wholesale homeware business, Orient Sourcing Services, before acquiring B&M
- ❖ Prior to that, held various positions with McKinsey & Co., 3i and Barclays Bank

Anthony Giron – France, Managing Director



- ❖ Joined B&M in May 2020
- ❖ Has experience in developing retail brands in France and international expansion
- ❖ Held a number of senior executive positions in retail businesses in France including **CEO of Selecta SA, CEO of Hema International and Trading Director of Vroom & Dressmann**

Tony Dobbs – Heron Foods, Managing Director



- ❖ **Joined Heron Foods in 1991**
- ❖ Was appointed as Director of Retail Operations in January 2013 and promoted to Managing Director of Heron Foods in December 2017
- ❖ Previously held managerial roles at Gateway Food Markets and Dee Supermarkets